price of some of the benefits of a "pure" DeFi approach, such as decreased interoperability on a "sharded" blockchain. Similar to the Internet and other transformational technologies, the benefits and scale will improve over time. Smart contract risk will never be eliminated, but wisdom gained from experience will inform best practices and industry trends going forward.

As a caution to dApps that blindly integrate and stack on top of each other without proper due diligence, the weakest link in the chain will bring down the entire house. The severity of smart contract risk grows directly in proportion to the natural tendency to innovate and integrate with new technologies. For this reason, it is inevitable that high-profile vulnerabilities will continue to jeopardize user funds as they have in the past. If DeFi cannot surmount these risks, among others, its utility will remain a shadow of its potential.

The true potential of DeFi is transformational. Assuming DeFi realizes its potential, the companies that refuse to adapt may be lost and forgotten. All traditional financial firms can and should begin to integrate their services with crypto and DeFi as the regulatory environment gains clarity and the risks are better understood over time. This adoption can be viewed as a "DeFi front end," which strips away the details to provide more simplicity for the end user.

Startups like Dharma[1] are leading the new wave of consumer access to DeFi. This approach will still suffer from some layers of inefficiency, but the companies that best integrate the technology and support local regulation will emerge